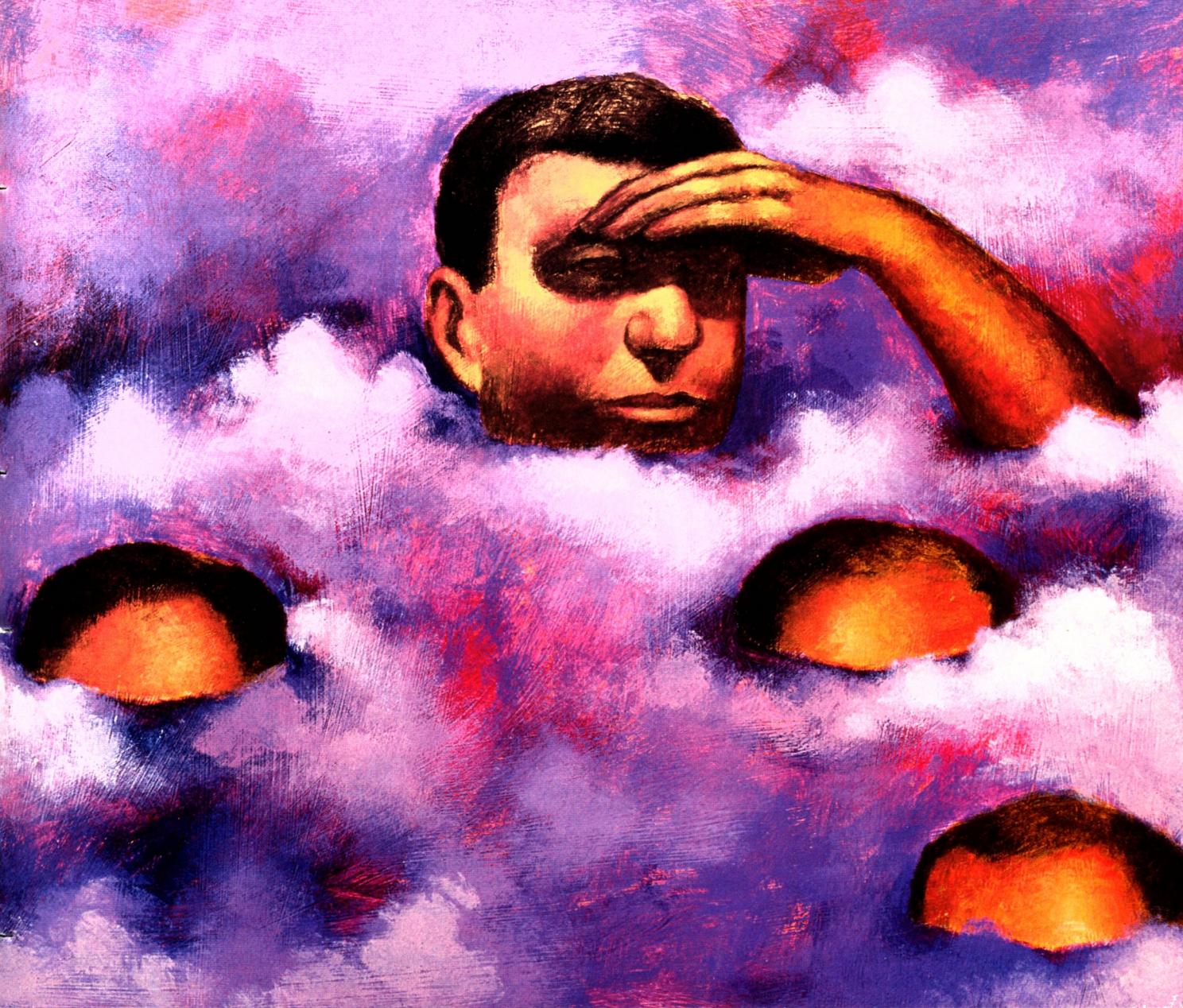




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questions about what value they offer to their customers and why customers should do business with them. When a market is growing rapidly, it doesn't take much to sell your products and services. After all, a rising tide lifts all fortunes. But, as the legendary investor Warren Buffet observed, it is when the tide goes out that you find out who has been swimming naked.

Finally, a recession in an industry often signals that the current technologies and current business models are running out of steam, and that it is time for disruptive new technologies and innovative business models to take hold. For instance, the Desktop computing paradigm grew out of the declining fortunes of the Mainframe computing paradigm. Similarly, we are witnessing a slowdown in the Enterprise Software market, but at the same time, we are witnessing the emergence of Software as a Service (SaaS) paradigm and the Open Source Software paradigm, which have the potential to usher in a new era of software, applications and

devices. Take the mobile device industry, for example. While the fortunes of conventional mobile handset manufacturers like Motorola and Sony Ericsson are declining, we are seeing the creation of open-source mobile devices based on Google's operating system, location-based services on mobile devices, mobile gaming, mobile advertising and mobile commerce. Customers' needs do not disappear in a recession. There is always room to innovate, and even more room when the existing paradigm is looking tired.

So the spirit of entrepreneurship remains alive and well even when things look gloomy. And entrepreneurship in India is no exception. Despite all the bad news we read about in the newspapers and the breathtaking decline of the Indian stock market, the Indian entrepreneurship scene is more vibrant than ever before. A case in point—the Tata NEN Hottest Start-ups contest that is currently ongoing has received over 500 entries. The range of industries and markets these start-ups